

OTS-03- Options Pricing Models and Greeks

Overview:

This session starts with discussing some options basics and terminology. Then we discuss the model-independent features of options such as the arbitrage relationships between the options and the underlying, and between options and other options. Then, we discuss variables that go as input for pricing options and visit the idea of risk neutrality in option pricing. Finally, we discuss the famous Black-Scholes-Merton model for option pricing in detail.

In the later part of the session, we will discuss the options Greeks and their application.

Topics covered:

- Options basics and terminology
- Model-independent features of options: arbitrage relationships between various options, and options and underlying
- Option pricing variables and parameters
- Properties of BSM solution
- Options Greeks

Pre-requisites:

- Options Primer completion is mandatory
- OTS -01 (i.e., General Trading Theory) lecture recording and its Prerequisites.
- OTS -02 (i.e., Volatility Trading and Variance Premium)

In this lecture, you will:

- Gain an in-depth understanding of the put-call parity.
- Learn about the different variables and inputs that go into pricing options and the concept of risk neutrality.
- Learn about the Black-Scholes-Merton (BSM) option pricing model

Additional reading:

Blog: [How to Use Black Scholes Option Pricing Model](#)

Recommended time for the session & related coursework – 7 hours